

Shaking It Up



In 2024, companies had to contend with serious geopolitical issues disrupting business models



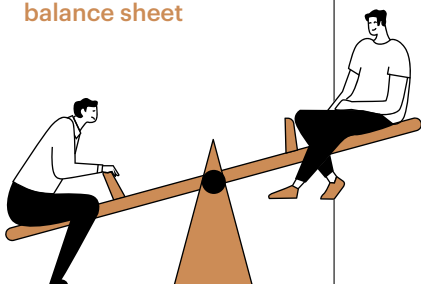
The advantage of scale and size has been a big factor in coping with the crisis



Across sectors, companies have successfully realigned their business models



The way forward will be about more efficient capital allocation and maintaining a stronger balance sheet



Bouncing Back

After a difficult FY24, some companies got it right the following year. What worked for them?

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BY KRISHNA GOPALAN

BUSINESSES ARE OFTEN pushed to the limit. The ability to rebound is what sets them apart. In that sense, financial year 2023-24 (FY24) was marked by multiple challenges. What set the year apart was the beginning of the current geopolitical turbulence, which, by the looks of it, could be prolonged.

Understandably, many firms slipped into the red. But the sturdy ones got their act together and bounced back in FY25, as reflected in the BT500 India's Most Profitable Companies list. Of course, that is not to suggest that the current fiscal year or the immediate future will be any less difficult.

COPING AND CHARGE

The nature of the challenge varied depending on the industry. In steel, for instance, FY24 was marked by an uneven global macroeconomic landscape. T.V. Narendran, Chief Executive Officer and Managing Director of Tata Steel, which saw the biggest turnaround (*see table*), says China's transition from investment to consumption-led growth contributed to reduced demand, exacerbated by a sluggish real estate sector. "Overcapacity in China and higher